

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

167

(2020) 7 Supreme Court Cases 167

**3-Judge
Bench**

2020

May 22

a (BEFORE R. BANUMATHI, INDU MALHOTRA AND ANIRUDDHA BOSE, JJ.)
PATEL ENGINEERING LIMITED . . . Petitioner;
Versus

NORTH EASTERN ELECTRIC POWER
CORPORATION LIMITED . . . Respondent.

b SLPs (C) Nos. 3584-85 of 2020[†] with Nos. 3434-35 of
2020[‡] and 3438-39 of 2020^{††}, decided on May 22, 2020

Arbitration and Conciliation Act, 1996 — Ss. 34(2-A) and 37 — Domestic arbitral award — Patent illegality — Ground of — When can be invoked — Law summarised — Held, the ground of patent illegality is a ground available under the statute for setting aside a domestic award, if the decision of the arbitrator is found to be perverse, or, so irrational that no reasonable person would have arrived at the same; or, the construction of the contract is such that no fair or reasonable person would take [test therefor is the one laid down in para 42.3 of *Associate Builders*, (2015) 3 SCC 49, as affirmed in para 40 of *Ssangyong Engg.*, (2019) 15 SCC 131]; or, that the view of the arbitrator is not even a possible view

d — High Court, held, correctly decided the appeals under S. 37 on the ground that the arbitral award was perverse and that on a holistic reading of all the terms and conditions of the contract, the view taken by arbitrator was not even a possible view — High Court held that while interpreting the terms of the contract, no reasonable person could have arrived at a different conclusion and the awards passed by the arbitrator suffered from the vice of irrationality and perversity — Petitioner preferred special leave petitions thereagainst before the Supreme Court and after hearing both the parties, the same were dismissed — Subsequently, the High Court also declined to entertain the review petitions filed by petitioner — In the present case, held, there was no warrant for interference with the order of the High Court setting aside the award on the ground of patent illegality, as the High Court had correctly applied the statutory provisions as interpreted by the Supreme Court, and had applied the correct test for “patent illegality” qua construction of the contract by the arbitrator, as laid down in para 42.3 of *Associate Builders*, (2015) 3 SCC 49, which was affirmed in para 40 of *Ssangyong Engg.*, (2019) 15 SCC 131 — Hence, dismissal of the review petitions did not warrant any interference (Paras 22 to 27)

g *Ssangyong Engg. & Construction Co. Ltd. v. NHAI*, (2019) 15 SCC 131; *Associate Builders v. DDA*, (2015) 3 SCC 49 : (2015) 2 SCC (Civ) 204; *BCCI v. Kochi Cricket (P) Ltd.*, (2018) 6 SCC 287 : (2018) 3 SCC (Civ) 534; *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.*, Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh); *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.*, 2019 SCC OnLine Megh 30, affirmed

[†] Arising out of SLP (C) D. No. 577 of 2020. Arising from the impugned Judgment and Order in *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.* (Meghalaya High Court, Review Petition No. 16 of 2019, dt. 10-10-2019)

h [‡] Arising out of SLP (C) D. No. 595 of 2020

^{††} Arising out of SLP (C) D. No. 593 of 2020

168

SUPREME COURT CASES

(2020) 7 SCC

ONGC v. Saw Pipes Ltd., (2003) 5 SCC 705; *ONGC v. WesternGeco International Ltd.*, (2014) 9 SCC 263 : (2014) 5 SCC (Civ) 12, *held, partly superseded statutorily*

Patel Engg. Ltd.-Unity Infrastructure (JV) v. North Eastern Electric Power Corpn. Ltd., 2019 SCC OnLine SC 1806; *Bussa Overseas & Properties (P) Ltd. v. Union of India*, (2016) 4 SCC 696; *Durga Shankar Mehta v. Raghuraj Singh*, (1955) 1 SCR 267 : AIR 1954 SC 520; *Shanker Motiram Nale v. Shiolalsing Gannusing Rajput*, (1994) 2 SCC 753, *referred to*

Sandhya Educational Society v. Union of India, (2014) 7 SCC 701; *Vinod Kapoor v. State of Goa*, (2012) 12 SCC 378; *State of A.P. v. A.P. Jaiswal*, (2001) 1 SCC 748 : 2001 SCC (L&S) 316; *Thungabhadra Industries Ltd. v. State of A.P.*, (1964) 5 SCR 174 : AIR 1964 SC 1372; *HRD Corpn. v. GAIL (India) Ltd.*, (2018) 12 SCC 471 : (2018) 5 SCC (Civ) 401; *Angerlehner Structural & Civil Engg. Co. v. Municipal Corpn. of Greater Mumbai*, 2017 SCC OnLine Bom 1743, *cited*

Law Commission of India, 246th Report, *referred to*

VN-D/64011/CV

Advocates who appeared in this case :

Harish Salve and Neeraj Kishan Kaul, Senior Advocates, for the Petitioner;
Tushar Mehta, Solicitor General, Huzefa Ahmadi, Senior Advocate, for the Respondent.

Chronological list of cases cited

on page(s)

1. (2019) 15 SCC 131, *Ssangyong Engg. & Construction Co. Ltd. v. NHAI* 173b-c, 176b-c, 176e, 176f, 177c-d, 180a
2. 2019 SCC OnLine SC 1806, *Patel Engg. Ltd.-Unity Infrastructure (JV) v. North Eastern Electric Power Corpn. Ltd.* 170d-e, 170f-g, 172d-e, 172e-f, 172f, 173c-d, 180c
3. 2019 SCC OnLine Megh 30, *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.* 169c-d, 170c, 170d, 170e, 170f-g, 172e-f, 172g, 173a-b, 173b, 177c, 177d, 177d-e, 177g-h, 179f-g, 180a-b, 180b-c, 180c-d
4. Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh), *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.* 169c, 170e-f, 172e, 173b, 180c, 180c-d
5. (2018) 12 SCC 471 : (2018) 5 SCC (Civ) 401, *HRD Corpn. v. GAIL (India) Ltd.* 173b-c
6. (2018) 6 SCC 287 : (2018) 3 SCC (Civ) 534, *BCCI v. Kochi Cricket (P) Ltd.* 173d, 173e
7. 2017 SCC OnLine Bom 1743, *Angerlehner Structural & Civil Engg. Co. v. Municipal Corpn. of Greater Mumbai* 179b
8. (2016) 4 SCC 696, *Bussa Overseas & Properties (P) Ltd. v. Union of India* 170g, 171a-b, 171b-c, 171e, 171f
9. (2015) 3 SCC 49 : (2015) 2 SCC (Civ) 204, *Associate Builders v. DDA* 173f, 174a, 176e, 176f, 176f-g, 176g-h, 177c, 180a
10. (2014) 9 SCC 263 : (2014) 5 SCC (Civ) 12, *ONGC v. WesternGeco International Ltd. (held, partly superseded statutorily)* 173a-b, 176c-d, 179f-g
11. (2014) 7 SCC 701, *Sandhya Educational Society v. Union of India* 171c-d

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

169

12. (2012) 12 SCC 378, *Vinod Kapoor v. State of Goa* 171c-d, 171d
- a 13. (2003) 5 SCC 705, *ONGC v. Saw Pipes Ltd. (held, partly superseded statutorily)* 173a, 173e-f, 175c-d, 175f-g, 176c-d
14. (2001) 1 SCC 748 : 2001 SCC (L&S) 316, *State of A.P. v. A.P. Jaiswal* 172b-c
15. (1994) 2 SCC 753, *Shanker Motiram Nale v. Shiolalsing Gannusing Rajput* 171a-b, 171f-g
16. (1964) 5 SCR 174 : AIR 1964 SC 1372, *Thungabhadra Industries Ltd. v. State of A.P.* 172d
- b 17. (1955) 1 SCR 267 : AIR 1954 SC 520, *Durga Shankar Mehta v. Raghuraj Singh* 170g, 171e

ORDER

c 1. These special leave petitions arise out of the impugned order dated 10-10-2019¹ passed by the High Court of Meghalaya at Shillong in and by which the High Court declined to entertain the review petitions filed by the petitioner seeking review of the judgment and order dated 26-2-2019 in *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.*² on the ground that no ground for review is made out and that there is a delay in filing the application for review.

d 2. We have heard Mr Harish Salve and Mr Neeraj Kishan Kaul, learned Senior Counsel appearing on behalf of the petitioner. On behalf of the respondent, we have heard Mr Tushar Mehta, learned Solicitor General and Mr Huzefa Ahmadi, learned Senior Counsel at some length, even at the time of the admission.

e 3. The learned sole arbitrator has passed the arbitral award dated 29-3-2016 in respect of Package I holding as follows:

f “Based on my findings above, I have no hesitation in coming to the considered finding that the contract itself provides rate(s) for payment of extra lead in Items 2.7 and 3.4 of the BoQ for surface and underground structures respectively. Admittedly material had been transported from a lead much longer than that envisaged at the time of award of work in favour of the claimant. It is also an admitted case of the parties that the claimant is entitled to extra payment for the extra lead. The only point at issue is whether Clause 33(ii)(a) or Clause 33(iii) would be applicable for working out the rate payable for transportation. In view of my findings, I have no hesitation in holding that the payment of extra lead is to be determined in accordance with Clause 33(ii)(a) for the item which has deviated being already available in the contract.

g I, therefore, answer the reference as follows:

The rate for extra lead for transportation of sand and boulders from government approved quarries to the work site for Package I works under

h 1 *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.*, Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh)

2 2019 SCC OnLine Megh 30

170

SUPREME COURT CASES

(2020) 7 SCC

KaHEP shall be decided in terms of Clause 33(ii)(a) of Part III, Volume I, Conditions of Contract of Book II of Contract Agreement No. NEEPCO/ED/QP/C&P/R/C/KaHEP/560 of 2004-05 dated 17-12-2004.”

a

Similar declaratory arbitral awards dated 29-3-2016 were passed by the learned sole arbitrator in respect of the other two arbitral references in respect of contracts pertaining to Package II and Package III of the project.

4. The respondent North Eastern Electric Power Corporation Ltd. (NEEPCO) filed three applications under Section 34 of the Arbitration and Conciliation Act, 1996 before the Additional Deputy Commissioner (Judicial), Shillong challenging the three arbitral awards dated 29-3-2016 in respect of Packages I, II and III. The Additional Deputy Commissioner (Judicial) vide common judgment dated 27-4-2018 rejected the applications under Section 34 of the Act and upheld all the three arbitral awards. The respondent NEEPCO filed three appeals under Section 37 of the Act before the High Court in Arbitration Appeals Nos. 3, 4 and 5 of 2018. By the common judgment dated 26-2-2019², the High Court allowed the respondent's appeals and set aside the common judgment dated 27-4-2018 passed by the Additional Deputy Commissioner (Judicial).

b

c

5. Aggrieved by the common judgment dated 26-2-2019², the petitioner preferred special leave petitions before the Supreme Court in SLPs (C) Nos. 13629-31 of 2019. After hearing both the parties, the Supreme Court vide order dated 19-7-2019³ dismissed all the three SLPs filed by the petitioner holding that the Court is not inclined to interfere in the matters.

d

6. After dismissal³ of the SLPs, the petitioner filed review petitions before the High Court on the ground that the judgment of the High Court dated 26-2-2019² suffers from error apparent on the face of the record as it had not taken into consideration the amendments made to the Arbitration and Conciliation Act, 1996 by Amendment Act of 2015. The said review petitions came to be dismissed by the High Court vide the impugned orders¹.

e

7. We heard the matter at some length at the time of admission and carefully considered the submissions of the learned counsel appearing for the parties and the judgments relied upon by both the sides and the judgment of the High Court dated 26-2-2019² and other materials on record.

f

8. Contention of the learned Senior Counsel for the petitioner is that dismissal of the earlier SLP vide order dated 19-7-2019³ is a non-speaking order and not on merits and hence no objection could be taken for filing of the review petition. Placing reliance upon *Bussa Overseas*⁴ and the Constitution Bench decisions in *Durga Shankar Mehta*⁵, it was submitted that Article 136

g

2 *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.*, 2019 SCC OnLine Megh 30

3 *Patel Engg. Ltd.-Unity Infrastructure (JV) v. North Eastern Electric Power Corpn. Ltd.*, 2019 SCC OnLine SC 1806

1 *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.*, Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh)

4 *Bussa Overseas & Properties (P) Ltd. v. Union of India*, (2016) 4 SCC 696

5 *Durga Shankar Mehta v. Raghuraj Singh*, (1955) 1 SCR 267 : AIR 1954 SC 520

h

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

171

- a* of the Constitution confers on the Supreme Court special or residuary powers which are exercisable outside the purview of the ordinary laws in cases where the needs of justice demand interference by the Supreme Court. It was submitted that in para 30 of *Bussa Overseas*⁴, the Supreme Court held that though the decision in *Shanker Motiram Nale*⁶ referred to Order 47 Rule 7 of the Code of Civil Procedure that bars an appeal against the order of the Court rejecting the review, it is not to be understood that the Court has curtailed the
- b* plenary jurisdiction under Article 136 of the Constitution by taking recourse to the provisions in the Code of Civil Procedure.

- c* 9. Mr Tushar Mehta, learned Solicitor General also relied upon *Bussa Overseas*⁴ and contended that the appeal is not maintainable against the order rejecting the application for review of judgment and such appeal is not against the main judgment. In support of his contention, the learned Solicitor General has placed reliance upon para 22, which reads as under: (SCC p. 707)

“22. Recently in *Sandhya Educational Society v. Union of India*⁷, the Court referred to the decision in *Vinod Kapoor v. State of Goa*⁸ and opined thus: (*Sandhya Educational Society case*⁷, SCC p. 706, para 16)

- d* ‘16. This Court in *Vinod Kapoor v. State of Goa*⁸, has categorically observed that once the special leave petition is dismissed as withdrawn without obtaining appropriate permission to file a special leave petition once over again after exhausting the remedy of review petition before the High Court, the same is not maintainable.’ ”

- e* 10. After considering the Constitution Bench decision in *Durga Shankar Mehta*⁵ and number of other judgments, in *Bussa Overseas*⁴, the Court held that consistency is the cornerstone of the administration of justice and courts have evolved and formulated a principle that if the basic judgment is not assailed and the challenge is only to the order passed in review, the Supreme Court is obliged not to entertain such special leave petitions. In paras 30 and 31 of
- f* *Bussa Overseas*⁴, the Supreme Court held as under: (*Bussa Overseas case*⁴, SCC pp. 710-11)

- g* “30. The decisions pertaining to maintainability of special leave petition or for that matter appeal have to be seemly understood. Though in the decision in *Shanker Motiram Nale v. Shirolalsing Gannusing Rajput*⁶, the two-Judge Bench referred to Order 47 Rule 7 of the Code of Civil Procedure that bars an appeal against the order of the court rejecting the review, it is not to be understood that the Court has curtailed the plenary jurisdiction under Article 136 of the Constitution by taking recourse to the

4 *Bussa Overseas & Properties (P) Ltd. v. Union of India*, (2016) 4 SCC 696

6 *Shanker Motiram Nale v. Shirolalsing Gannusing Rajput*, (1994) 2 SCC 753

7 (2014) 7 SCC 701

8 (2012) 12 SCC 378

5 *Durga Shankar Mehta v. Raghuraj Singh*, (1955) 1 SCR 267 : AIR 1954 SC 520

h

172

SUPREME COURT CASES

(2020) 7 SCC

provisions in the Code of Civil Procedure. *It has to be understood that the Court has evolved and formulated a principle that if the basic judgment is not assailed and the challenge is only to the order passed in review, this Court is obliged not to entertain such special leave petition. The said principle has gained the authoritative status and has been treated as a precedential principle for more than two decades and we are disposed to think that there is hardly any necessity not to be guided by the said precedent.*

31. In this context, we may profitably reproduce a passage from *State of A.P. v. A.P. Jaiswal*⁹, wherein a three-Judge Bench has observed thus: (SCC p. 761, para 24)

‘24. Consistency is the cornerstone of the administration of justice. It is consistency which creates confidence in the system and this consistency can never be achieved without respect to the rule of finality. It is with a view to achieve consistency in judicial pronouncements, the courts have evolved the rule of precedents, principle of stare decisis, etc. These rules and principles are based on public policy.’ ” (emphasis supplied)

The Supreme Court held that the decision rendered in *Thungabhadra Industries Ltd.*¹⁰ is not correct.

11. It was submitted by the learned Solicitor General and the learned Senior Counsel appearing on behalf of the respondent that the earlier SLP was heard at length and thereafter, the SLP came to be dismissed³ as there was no ground to interfere in the matters. After dismissal of the SLP and without seeking for liberty, the petitioner thereafter filed the review petition.

12. In our considered view, it is not necessary to go into the question of maintainability of these SLPs preferred against the order¹ rejecting the review, after the challenge to the main judgment² had been rejected³ in the earlier SLPs. As noted earlier, in this case, the judgment² of the High Court under Section 37 of the Act was challenged before the Supreme Court and the SLPs were dismissed by the Supreme Court after hearing the Senior Counsel for the parties vide order dated 19-7-2019³. Be it noted when the earlier SLPs were dismissed, no liberty was taken to file the review before the High Court. Be that as it may, we are not inclined to go into this aspect any further.

13. On behalf of the petitioner, Mr Harish Salve and Mr Neeraj Kishan Kaul, learned Senior Counsel mainly contended that in the judgment of the High Court dated 26-2-2019², the High Court erroneously applied the

9 (2001) 1 SCC 748 : 2001 SCC (L&S) 316

10 *Thungabhadra Industries Ltd. v. State of A.P.*, (1964) 5 SCR 174 : AIR 1964 SC 1372

3 *Patel Engg. Ltd.-Unity Infrastructure (JV) v. North Eastern Electric Power Corpn. Ltd.*, 2019 SCC OnLine SC 1806

1 *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.*, Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh)

2 *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.*, 2019 SCC OnLine Megh 30

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

173

- a* provisions as applicable prior to the Amendment Act, 2015 and the judgment of the High Court suffers from error apparent on the face of the record since the High Court relied upon the decision in *Saw Pipes Ltd.*¹¹ and *WesternGeco International Ltd.*¹², which are no longer good law after the Amendment Act, 2015 brought into effect from 23-10-2015. It is submitted that the judgment of the High Court dated 26-2-2019² suffers from error apparent on the face of the record and therefore, the petitioner is justified in seeking the review of the judgment dated 26-2-2019² and the High Court was not right in rejecting¹ the review petition. In support of the contention of the petitioners, reliance was placed upon *HRD Corpn.*¹³ and *Ssangyong Engg. & Construction Co. Ltd.*¹⁴

- c* **14.** Mr Tushar Mehta, learned Solicitor General and Mr Huzefa Ahmadi, learned Senior Counsel have submitted that at the time when the earlier SLPs (C) Nos. 13629-31 of 2019 were heard, they were heard at length and all the arguments including the effect of the amendment to Section 34 was also raised and only thereafter, the earlier SLPs came to be dismissed³. It was submitted that though the dismissal of order dated 19-7-2019³ is a non-speaking order, the petitioner had raised all contentious points, now urged, and faced an order of dismissal, and the petitioner cannot be allowed to re-agitate the matter by filing a review petition.

- d* **15.** In *BCCI*¹⁵, the Supreme Court held that the Amendment Act, 2015 would apply to Section 34 petitions that are made after 23-10-2015 (the day on which the Amendment Act came into force). In the present case, admittedly, after the arbitral awards dated 29-3-2016, the applications under Section 34 of the Act were filed before the Judicial Commissioner, Shillong as per the decision in *BCCI*¹⁵, the provisions of the Amendment Act would apply.

- e* **16.** Patent illegality as a ground for setting aside a domestic award was first expounded in the judgment of *Saw Pipes Ltd.*¹¹ where this Court was dealing with a domestic award. This Court gave a wider interpretation to the “public policy of India” in Section 34(2)(b)(ii) in Part I of the 1996 Act. The Court held that an award would be “patently illegal”, if it is contrary to the substantive provisions of law; or, provisions of the 1996 Act; or, terms of the contract.

- f* **17.** In the subsequent judgment of *Associate Builders*¹⁶, this Court discussed the ground of patent illegality as a ground under public policy

- g* 11 *ONGC v. Saw Pipes Ltd.*, (2003) 5 SCC 705
12 *ONGC v. WesternGeco International Ltd.*, (2014) 9 SCC 263 : (2014) 5 SCC (Civ) 12
2 *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.*, 2019 SCC OnLine Megh 30
1 *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.*, Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh)
13 *HRD Corpn. v. GAIL (India) Ltd.*, (2018) 12 SCC 471 : (2018) 5 SCC (Civ) 401
14 *Ssangyong Engg. & Construction Co. Ltd. v. NHAI*, (2019) 15 SCC 131, para 19
3 *Patel Engg. Ltd.-Unity Infrastructure (JV) v. North Eastern Electric Power Corpn. Ltd.*, 2019 SCC OnLine SC 1806
h 15 *BCCI v. Kochi Cricket (P) Ltd.*, (2018) 6 SCC 287 : (2018) 3 SCC (Civ) 534
16 *Associate Builders v. DDA*, (2015) 3 SCC 49, paras 40 to 45 : (2015) 2 SCC (Civ) 204

174

SUPREME COURT CASES

(2020) 7 SCC

for setting aside a domestic award. The relevant extract of the judgment in *Associate Builders case*¹⁶ reads as follows: (SCC pp. 79 & 81, paras 40 & 42)

“Patent Illegality

40. We now come to the fourth head of public policy, namely, patent illegality. It must be remembered that under the Explanation to Section 34(2)(b), an award is said to be in conflict with the public policy of India if the making of the award was induced or affected by fraud or corruption. This ground is perhaps the earliest ground on which courts in England set aside awards under English law. Added to this ground (in 1802) is the ground that an arbitral award would be set aside if there were an error of law by the arbitrator. ...

*

*

*

42. *In the 1996 Act, this principle is substituted by the “patent illegality” principle which, in turn, contains three sub-heads—*

42.1. (a) a contravention of the substantive law of India would result in the death knell of an arbitral award. This must be understood in the sense that such illegality must go to the root of the matter and cannot be of a trivial nature. This again is really a contravention of Section 28(1)(a) of the Act, which reads as under:

‘28. Rules applicable to substance of dispute.—(1) Where the place of arbitration is situated in India—

(a) in an arbitration other than an international commercial arbitration, the Arbitral Tribunal shall decide the dispute submitted to arbitration in accordance with the substantive law for the time being in force in India;’

42.2. (b) a contravention of the Arbitration Act itself would be regarded as a patent illegality—for example if an arbitrator gives no reasons for an award in contravention of Section 31(3) of the Act, such award will be liable to be set aside.

42.3. (c) *Equally, the third sub-head of patent illegality is really a contravention of Section 28(3) of the Arbitration Act, which reads as under:*

‘28. Rules applicable to substance of dispute.—(1)-(2) * * *

(3) *In all cases, the Arbitral Tribunal shall decide in accordance with the terms of the contract and shall take into account the usages of the trade applicable to the transaction.’*

This last contravention must be understood with a caveat. An Arbitral Tribunal must decide in accordance with the terms of the contract, but if an arbitrator construes a term of the contract in a reasonable manner, it will not mean that the award can be set aside on this ground. Construction of the terms of a contract is primarily for an arbitrator to decide unless the arbitrator construes the contract in such a way that it could be said to be something that no fair-minded or reasonable person could do.” (emphasis supplied)

¹⁶ *Associate Builders v. DDA*, (2015) 3 SCC 49, paras 40 to 45 : (2015) 2 SCC (Civ) 204

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

175

18. The Law Commission in its 246th Report¹⁷ recommended the insertion of the ground of “patent illegality” for setting aside a domestic award by the insertion of sub-section (2-A) in Section 34 of the Act. The relevant extract from the Report of the Law Commission is extracted hereinbelow:

“35. It is for this reason that the Commission has recommended the addition of Section 34(2-A) to deal with purely domestic awards, which may also be set aside by the court if the court finds that such award is vitiated by “patent illegality appearing on the face of the award”. In order to provide a balance and to avoid excessive intervention, it is clarified in the proposed proviso to the proposed Section 34(2-A) that such “an award shall not be set aside merely on the ground of an erroneous application of the law or by reappreciating evidence”. The Commission believes that this will go a long way to assuage the fears of the judiciary as well as the other users of arbitration law who expect, and given the circumstances prevalent in our country, legitimately so, greater redress against purely domestic awards. This would also do away with the unintended consequences of the decision of the Supreme Court in *ONGC v. Saw Pipes Ltd.*¹¹, which, although in the context of a purely domestic award, had the unfortunate effect of being extended to apply equally to both awards arising out of international commercial arbitrations as well as foreign awards, given the statutory language of the Act.” (emphasis supplied)

To give effect to the said recommendation, it was suggested that:

“18. ... (iii) After the *Explanation* in sub-section (2), insert sub-section “(2-A) An arbitral award arising out of arbitrations other than international commercial arbitrations, may also be set aside by the court if the court finds that the award is vitiated by patent illegality appearing on the face of the award:

Provided that an award shall not be set aside merely on the ground of an erroneous application of the law or by reappreciating evidence”.

[*Note.—The proposed Section 34(2-A) provides an additional, albeit carefully limited, ground for setting aside an award arising out of a domestic arbitration (and not an international commercial arbitration). The scope of review is based on the patent illegality standard set out by the Supreme Court in *ONGC v. Saw Pipes Ltd.*¹¹ The proviso creates exceptions for erroneous application of the law and reappreciation of evidence, which cannot be the basis for setting aside awards.]” (emphasis supplied)*

19. Pursuant to the recommendations of the Law Commission, the 1996 Act was amended by Act 3 of 2016, which came into force w.e.f. 23-10-2015. The ground of “patent illegality” for setting aside a domestic award has been given statutory force in Section 34(2-A) of the 1996 Act. The ground of “patent

¹⁷ Available at: <http://lawcommissionofindia.nic.in/reports/Report246.pdf>

¹¹ (2003) 5 SCC 705

illegality” cannot be invoked in international commercial arbitrations seated in India. Even in the case of a foreign award under the New York Convention, the ground of “patent illegality” cannot be raised as a ground to resist enforcement, since this ground is absent in Section 48 of the 1996 Act. The newly inserted sub-section (2-A) in Section 34, reads as follows:

“34. (2-A) An arbitral award arising out of arbitrations other than international commercial arbitrations, may also be set aside by the Court, if the Court finds that the award is vitiated by patent illegality appearing on the face of the award:

Provided that an award shall not be set aside merely on the ground of an erroneous application of the law or by reappraisal of evidence.”

20. In *Ssangyong Engg. & Construction Co. Ltd.*¹⁴, this Court was considering a challenge to an award passed in an international commercial arbitration, between the appellant Company—a foreign entity registered under the laws of Korea, and the respondent, a Government of India undertaking. In para 19 of the judgment, this Court noted that the expansive interpretation given to “public policy of India” in *Saw Pipes Ltd.*¹¹ and *WesternGeco International Ltd.*¹² cases, which had been done away with, and a new ground of “patent illegality” was introduced which would apply to applications under Section 34 made on or after 23-10-2015. In paras 36 and 37 of the judgment, this Court held that insofar as domestic awards are concerned, the additional ground of patent illegality was now available under sub-section (2-A) to Section 34. However, reappraisal of evidence was not permitted under the ground of “patent illegality” appearing on the face of the award.

21. In paras 39 and 40 of *Ssangyong Engg.*¹⁴, the Court reiterated paras 42.2 and 42.3 of *Associate Builders*¹⁶ wherein, it was held that the construction of the terms of a contract is primarily for an arbitrator to decide, unless the arbitrator construes a contract in a manner which no fair-minded or reasonable person would take i.e. if the view taken by the arbitrator is not even a possible view to take. In paras 39 and 40, the Supreme Court held as under: (*Ssangyong Engg. case*¹⁴, SCC pp. 170-71)

“39. To elucidate, para 42.1 of *Associate Builders v. DDA*¹⁶, namely, a mere contravention of the substantive law of India, by itself, is no longer a ground available to set aside an arbitral award. Para 42.2 of *Associate Builders v. DDA*¹⁶, however, would remain, for if an arbitrator gives no reasons for an award and contravenes Section 31(3) of the 1996 Act, that would certainly amount to a patent illegality on the face of the award.

40. The change made in Section 28(3) by the Amendment Act really follows what is stated in paras 42.3 to 45 in *Associate Builders v. DDA*¹⁶, namely, that the construction of the terms of a contract is primarily for

14 *Ssangyong Engg. & Construction Co. Ltd. v. NHAI*, (2019) 15 SCC 131, para 19

11 *ONGC v. Saw Pipes Ltd.*, (2003) 5 SCC 705

12 *ONGC v. WesternGeco International Ltd.*, (2014) 9 SCC 263 : (2014) 5 SCC (Civ) 12

16 *Associate Builders v. DDA*, (2015) 3 SCC 49, paras 40 to 45 : (2015) 2 SCC (Civ) 204

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

177

a an arbitrator to decide, unless the arbitrator construes the contract in a manner that no fair-minded or reasonable person would; in short, that the arbitrator's view is not even a possible view to take. Also, if the arbitrator wanders outside the contract and deals with matters not allotted to him, he commits an error of jurisdiction. This ground of challenge will now fall within the new ground added under Section 34(2-A)." (emphasis supplied)

b 22. The present case arises out of a domestic award between two Indian entities. The ground of patent illegality is a ground available under the statute for setting aside a domestic award, if the decision of the arbitrator is found to be perverse, or, so irrational that no reasonable person would have arrived at the same; or, the construction of the contract is such that no fair or reasonable person would take; or, that the view of the arbitrator is not even a possible view.

c 23. In the present case, the High Court has referred to the judgment in *Associate Builders*¹⁶ at length in para 42 of its judgment dated 26-2-2019² and arrived at the correct conclusion that an arbitral award can be set aside under Section 34 if it is patently illegal or perverse. This finding of the High Court is in conformity with para 40 of the judgment of this Court in *Ssangyong Engg.*¹⁴

d 24. In the present case, the High Court in para 60 has held² that no reasonable person could have arrived at a different conclusion while interpreting Clauses 2.7 and 3.4 of the BoQ and Clauses 32(ii)(a) and 33(iii) of the Conditions of Contract. Any other interpretation of the above clauses would definitely be irrational and in defiance of all logic. The relevant extract reads: (*North Eastern Electric Power Corpn. Ltd. case*², SCC OnLine Megh)

e "60. ... Clause 33(iii) specifically provides that "If the rates for such items of work cannot be determined in the manner as specified in Clause 33(ii), the rates for such items to be executed shall be determined by the Engineer-in-Charge on the basis of actual and analysed cost taking the following into consideration the rates for such items of works as are required to be executed due to deviations as stated in sub-clause shall be payable in the manner as stated hereunder...". We are of the firm view that this is the only possible interpretation of Clauses 2.7 and 3.4 of the BoQ and Clauses 32(ii)(a) and 33(iii) of the Conditions of Contract. No reasonable person would arrive at a different conclusion while interpreting Clauses 2.7 and 3.4 of the BoQ and Clauses 32(ii)(a) and 33(iii) of the Conditions of Contract. Any other interpretation of the above clauses would definitely be irrational and in defiance of all logic." (emphasis supplied)

g 25. The High Court in para 61 came to the finding that the findings in the award suffer from the vice of irrationality and perversity, and held as follows: (*North Eastern Electric Power Corpn. Ltd. case*², SCC OnLine Megh paras 61-63)

h 16 Associate Builders v. DDA, (2015) 3 SCC 49, paras 40 to 45 : (2015) 2 SCC (Civ) 204

2 North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd., 2019 SCC OnLine Megh 30

14 Ssangyong Engg. & Construction Co. Ltd. v. NHAI, (2019) 15 SCC 131, para 19

“61. The arbitral awards and the findings of the learned arbitrator suffer from the vice of perversity. The learned arbitrator has taken into account various factors irrelevant in coming to the decision and has ignored vital clauses of the tender documents like Clause 2 and various sub-clauses i.e. sub-clauses 2.1 to 2.8.7 under Clause 2 and Clause 3 and various sub-clauses i.e. sub-clauses 3.1 to 3.7 under Clause 3 of the BoQ, Clause 2 and various sub-clauses i.e. sub-clauses 2.1 to 2.17.7 under Clause 2 and Clause 3 and various sub-clauses i.e. sub-clauses 3.1 to 3.10.5 under Clause 3 of “Particular Technical Specifications”, Vol. 2, Part II. The learned arbitrator has taken into consideration an irrelevant fact that while making provisional payment, the initial lead of 3.0 km has been deducted and that this shows that Clauses 2.7 and 3.4 of the BoQ are applicable. The provisional payment was an interim arrangement and was preceded by meetings dated 7-12-2012 and 8-12-2012 wherein it was specifically agreed between the parties that HoP, NEEPCO would take steps for referring the dispute to arbitration and that till the arbitral award, the payment would be made as per the prevailing provisional rate without any escalation and that final rate payable for transportation of sand and boulder shall be done on implementation of the arbitral award. As such the fact that provisional payment was made by deducting initial lead of 3.0 km was an irrelevant fact for deciding the issue. The findings of the learned arbitrator having been arrived at by taking into account irrelevant factors and by ignoring vital clauses, the same suffers from vice of irrationality and perversity. It must be borne in mind that the arbitral awards in question are declaratory arbitral awards and involved interpretation of Clauses 2.7 and 3.4 of the BoQ and Clauses 32(ii)(a) and 33(iii) of the Conditions of Contract and the learned arbitrator was required to interpret the same in accordance with the established rules of interpretation. The findings of the learned Additional Deputy Commissioner (Judicial), Shillong while upholding the arbitral awards of the learned arbitrator also suffer from the similar vice. We are, therefore, of the considered view that that the common order dated 27-4-2018 passed by the learned Additional Deputy Commissioner (Judicial), Shillong in Arbitration Case No. 5 (T) 2016, Arbitration Case No. 6 (T) 2016 and Arbitration Case No. 7 (T) 2016 as well as the 3 (three) arbitral awards dated 29-3-2016 passed by the learned arbitrator warrant interference in these appeals under Section 37 of the Arbitration and Conciliation Act, 1996.

62. There are additional reasons for interfering with order dated 27-4-2018 passed by the learned Additional Deputy Commissioner (Judicial), Shillong and the arbitral awards dated 29-3-2016 passed by the learned arbitrator. As the learned counsel for the appellant has submitted, the potential effect of the Arbitral Award on public exchequer is that the appellant, which is a public sector undertaking, will have to pay a sum

PATEL ENGG. LTD. v. NORTH EASTERN ELECTRIC
POWER CORPN. LTD.

179

a of about Rs 3.56 lakhs for every truckload of 10 cubic metre of sand or boulder (travelling for 100 km) and the total potential effect would be about Rs 1000 crores. We are of the considered view that payment of Rs 3.56 lakhs per truck (10 cubic metre) of sand or boulder (100 km distance) is definitely a case of unjust enrichment which is contrary to the fundamental policy of Indian Law. Unjust enrichment being contrary to the fundamental policy of Indian Law is a ground for interference with an arbitral award under Section 34(2) of the Act. The Bombay High Court in Angerlehner Structural & Civil Engg. Co. v. Municipal Corpn. of Greater Mumbai¹⁸ has recognised unjust enrichment of a party at the cost of public exchequer as being against the fundamental policy of Indian law. The Bombay High Court has held: (SCC OnLine Bom para 65)

c ‘65. ... If the argument of the contractors is accepted, it leads to them blatantly enriching themselves over and above what they are entitled. Such completely unjust enrichment, that too at the cost of public funds, is abhorrent under the fundamental policy of Indian law. The award in AJECT, which permits such blatant enrichment is therefore also vitiated on the ground that it is against the fundamental policy of Indian law.’

e 63. We are also of the considered view that the arbitral award which would potentially result in unjust enrichment of the respondent to the extent of about Rs 1000 crores is against the fundamental policy of Indian law and, therefore, warrants interference on this count as well. Though this Court is not sitting in appeal over the award of the Arbitral Tribunal, the presence of grounds under Section 34(2) of the Act and the satisfaction arrived at by this Court in this regard, warrants interference more so, as the arbitral awards in question are declaratory arbitral awards and involved interpretation of Clauses 2.7 and 3.4 of the BoQ and Clauses 32(ii)(a) and 33(iii) of the Conditions of Contract and the learned arbitrator was required to interpret the same in accordance with the established rules of interpretation and in line with the fundamental policy of Indian law.” (emphasis supplied)

g 26. Even though the High Court in para 44 of the judgment² referred to various judgments, including Western Geco¹² [which is now no longer good law], the case has been decided on the ground that the arbitral award is a perverse award and on a holistic reading of all the terms and conditions of the contract, the view taken by the arbitrator is not even a possible view. The High

h 18 2017 SCC OnLine Bom 1743

2 North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd., 2019 SCC OnLine Megh 30

12 ONGC v. WesternGeco International Ltd., (2014) 9 SCC 263 : (2014) 5 SCC (Civ) 12

180

SUPREME COURT CASES

(2020) 7 SCC

Court has rightly followed the test set out in para 42.3 of *Associate Builders*¹⁶, which was reiterated in para 40 of *Ssangyong Engg.*¹⁴ judgment.

27. In our view, while dealing with the appeal under Section 37 of the Act, the High Court has considered the matter at length, and held² that while interpreting the terms of the contract, no reasonable person could have arrived at a different conclusion and that the awards passed by the arbitrator suffer from the vice of irrationality and perversity.

28. The learned Solicitor General Mr Tushar Mehta and Mr H. Ahmadi, Senior Advocate for the respondent, submitted that all these contentions were raised in the earlier round when challenge to the substantive judgment dated 26-2-2019² was made. The said challenge was repelled by this Court vide order dated 19-7-2019³ by dismissal of the earlier SLPs. It is now not open to reopen the matter by filing a review petition on the same grounds, which have been rightly dismissed¹ by the High Court. The petitioner has failed to make out any error on the face of the judgment dated 26-2-2019². The High Court by the impugned order dated 10-10-2019¹ rightly dismissed the review petitions and we do not find any ground warranting interference with the impugned order.

29. In the result, all the special leave petitions are dismissed with no order as to costs.

16 *Associate Builders v. DDA*, (2015) 3 SCC 49, paras 40 to 45 : (2015) 2 SCC (Civ) 204

14 *Ssangyong Engg. & Construction Co. Ltd. v. NHAI*, (2019) 15 SCC 131, para 19

2 *North Eastern Electric Power Corpn. Ltd. v. Patel Engg. Ltd.*, 2019 SCC OnLine Megh 30

3 *Patel Engg. Ltd.-Unity Infrastructure (JV) v. North Eastern Electric Power Corpn. Ltd.*, 2019 SCC OnLine SC 1806

1 *Patel Engg. Ltd. v. North Eastern Electric Power Corpn. Ltd.*, Review Petition No. 16 of 2019, order dated 10-10-2019 (Megh)